



Tamara Ritter

Senior Consultant
HXM-Transformation



Felix Ehrenfels

Senior Manager
HXM-Transformation

**Skills as the New Currency
of Organizations
mmmake x TUM**



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01

Intro

mmmake?

m menschen

m arken

m aschinen



**To translate this conviction into strong services,
we operate along our three services consisting
of**



We are part
of the
Schwarz
Digits





Would you
hire
yourself —
and how
would you
even know?

Key Drivers of a Skills-powered Organization

Why Organizations are betting on Skills

Evolution of Work

- Building **talent agility** is the #1 challenge — yet only **5% of organizations** have an effective upskilling program.
- Skills-based practices drive **workforce agility, productivity** — and **73% of employees** stay longer where development is prioritized.

Impact of AI

- Technologies will change **39% of core skills** by 2030.
- Skills gap = **#1 barrier** to transformation — cited by **63% of employers**.
- Skills-based orgs are **107% better** at placing people in the right roles.
- Better skill development improves **retention**.

Regulatory Requirements

- **EU Pay Transparency** (2026): Job Architecture becomes a legal necessity.
- **Corporate Sustainability Reporting Directive**: Skills data becomes a compliance asset.
- **EU Gender Balance Directive**: Transparent, skills-based criteria mandatory.



It's not a trend — it's a structural shift. And it affects every organization you'll ever work for.

02

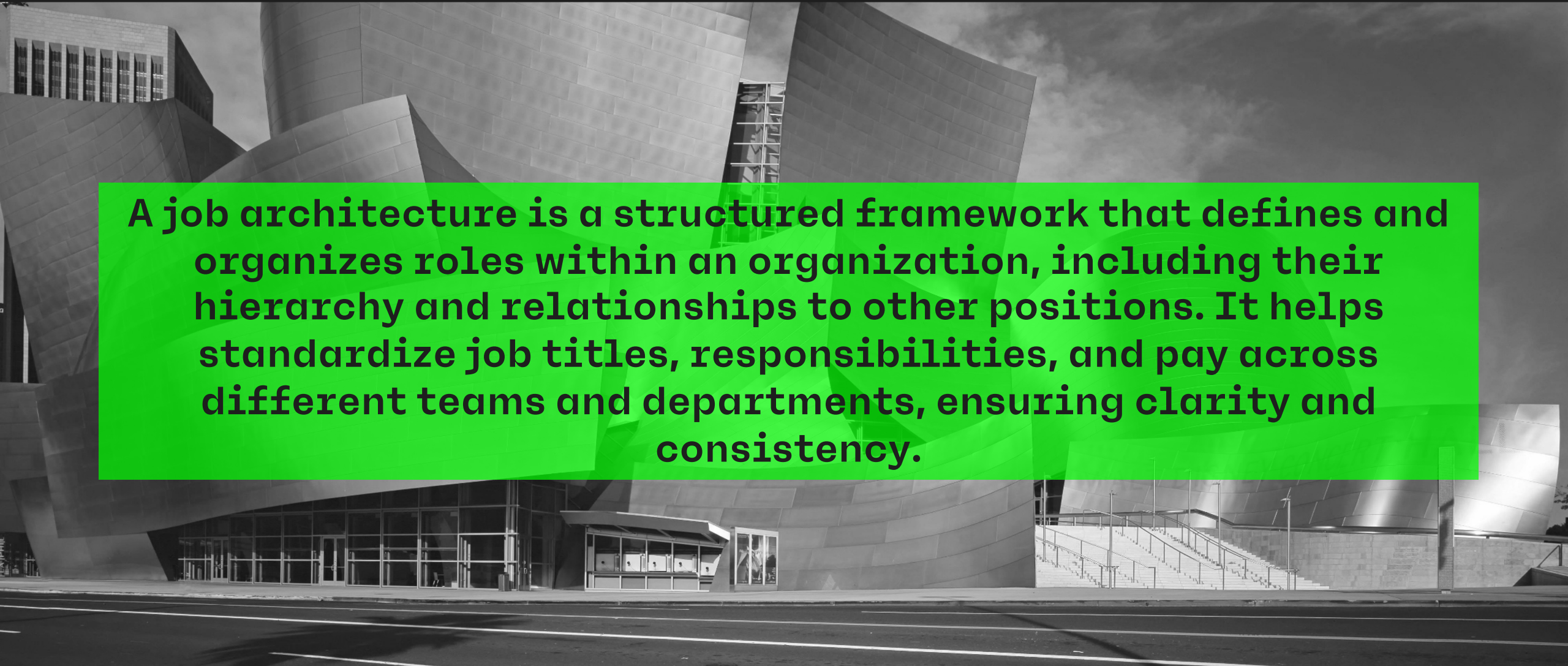
Modul #1 -

Job Architecture

Job Architecture

Description

A job architecture is a structured framework that defines and organizes roles within an organization, including their hierarchy and relationships to other positions. It helps standardize job titles, responsibilities, and pay across different teams and departments, ensuring clarity and consistency.

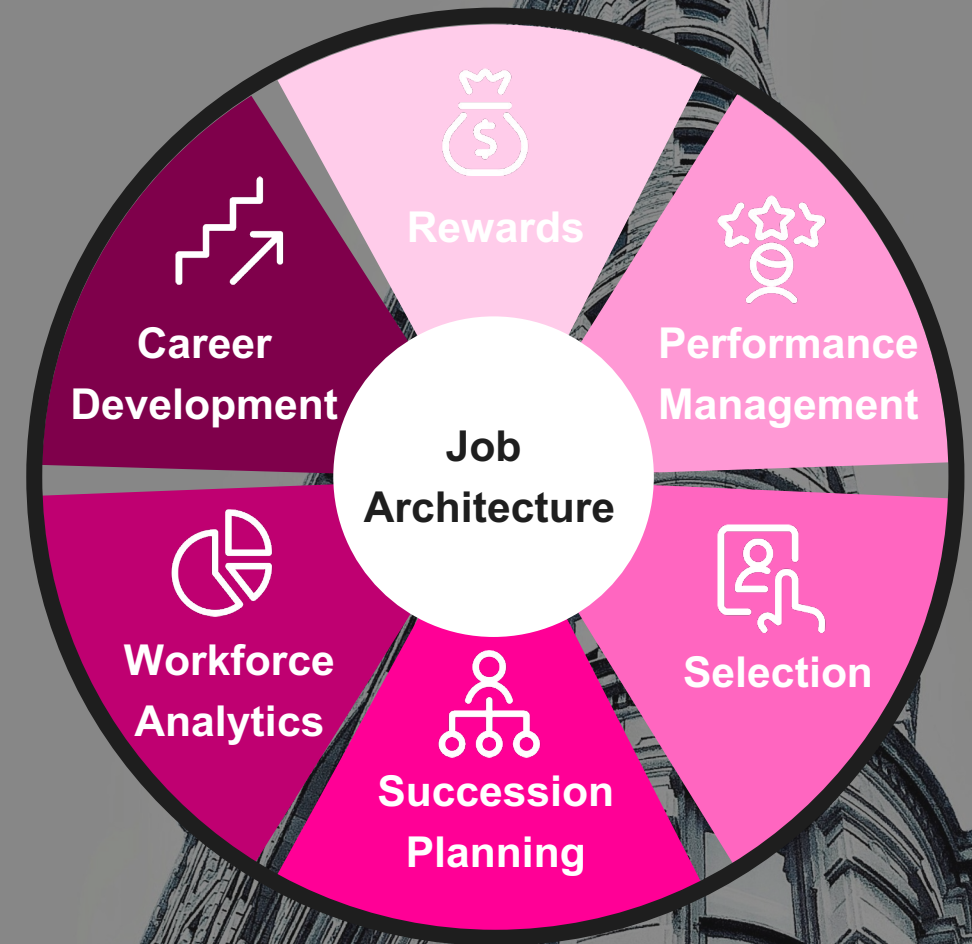


Job Architecture

Alignment with HR Processes Overview

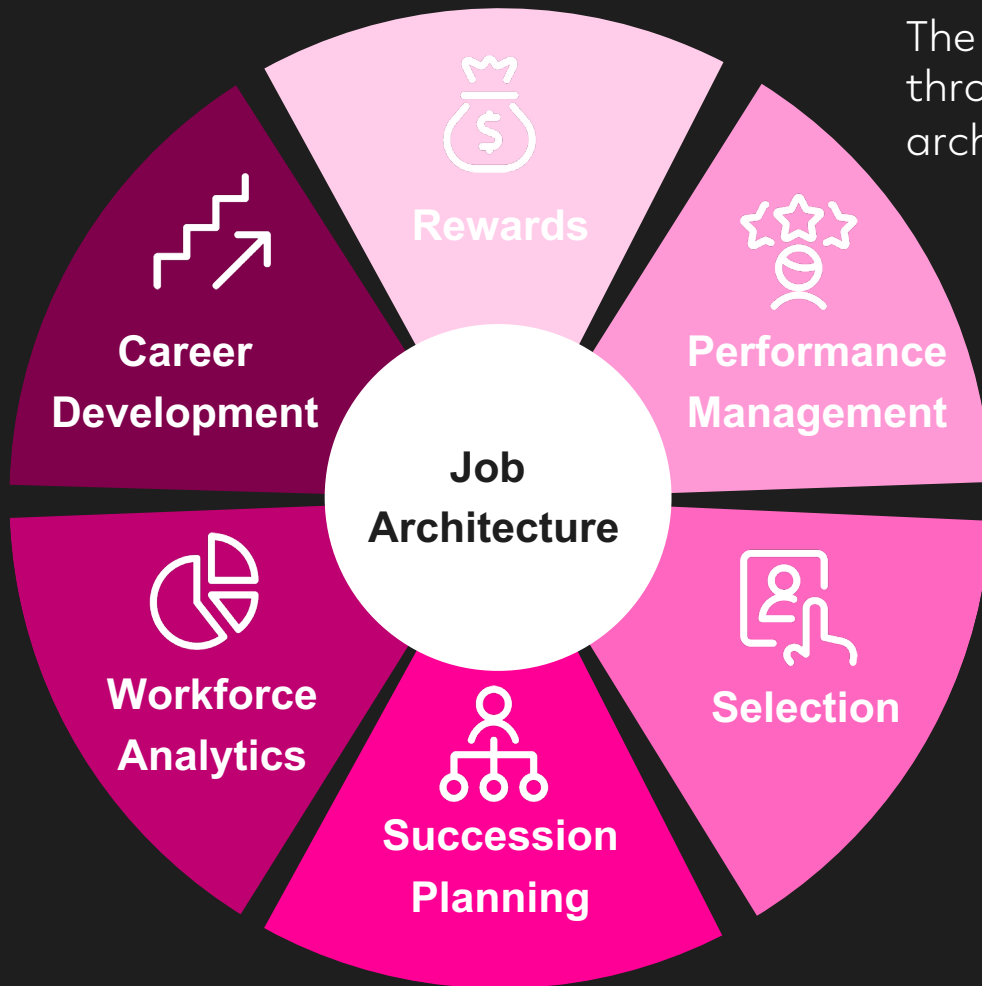
A well developed, clearly articulated job architecture serves as an anchor to many other HR programs and processes.

The success of the job architecture is determined by the strength of the linkages to other HR process, and likewise the success of other HR processes is enhanced by a clear linkage to the career framework.



Job Architecture

Alignment with HR Processes Overview



The purpose of the career framework is to build workforce capabilities through proactive and deliberate career management strategies. A job architecture is the foundation of a career framework.

- | Articulate a **career philosophy** that supports strategic goals
- | Develop/ align **job families, competencies, and accountabilities** across the organization
- | Define **critical experiences, knowledge, and skills** necessary for career progression
- | Identify flexible **career paths** not only within functions but across the organization
- | Empower managers to support employees through **effective conversations**
- | Empower employees to **actively manage** their career choices
- | Use your career framework to anchor **other HR processes**

Job Architecture

Deep-Dive Job & career architecture



Job Architecture

Main pillars of a holistic job architecture

ORGANIZATIONAL STRUCTURE

JOB FUNCTION

Broad categorization of work types within an organization

JOB FAMILIES / SUB-FAMILIES

Grouping of jobs based on core capabilities

JOB LEVELS

A tier in the organizational hierarchy that describes the level of responsibility, complexity, and influence of a particular role

JOB GRADES

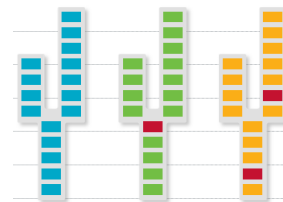
A classification assigned to jobs that indicates their relative value or pay range within the organization's compensation structure

CAREER STREAMS

Types of careers / dual career path
E.g. Mgmt, Prof, Sppt and Exec

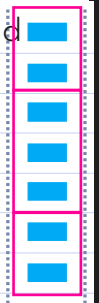
Job Function & Job Families

- **Job functions** are the highest level in the organization requiring broadly similar technical skills and abilities.
- **Job families** are series of jobs that require a unique set of technical competencies
- Example:
 - Job functions: Services, Engineering
 - Job families: Legal, HR, Business Development



Job Levels

- **Job levels** are hierarchical position of a job within a career stream.
- Recognizes incremental changes in job scope and responsibilities.
- Example:
 - Entry Level
 - Professional Level
 - Senior/Management Level
 - Executive Level

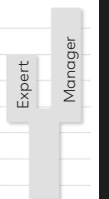


Job Grades

- **Job grades** are specific compensation levels within a job level and describe the salary range of a position.
- They relate to the market value, skills and contribution to the organization, regardless of hierarchical level
- Example:
 - M1 = Entry-level management for team leaders (e.g. Marketing Team Lead)
 - M2 = Department Head (e.g. Marketing Manager)

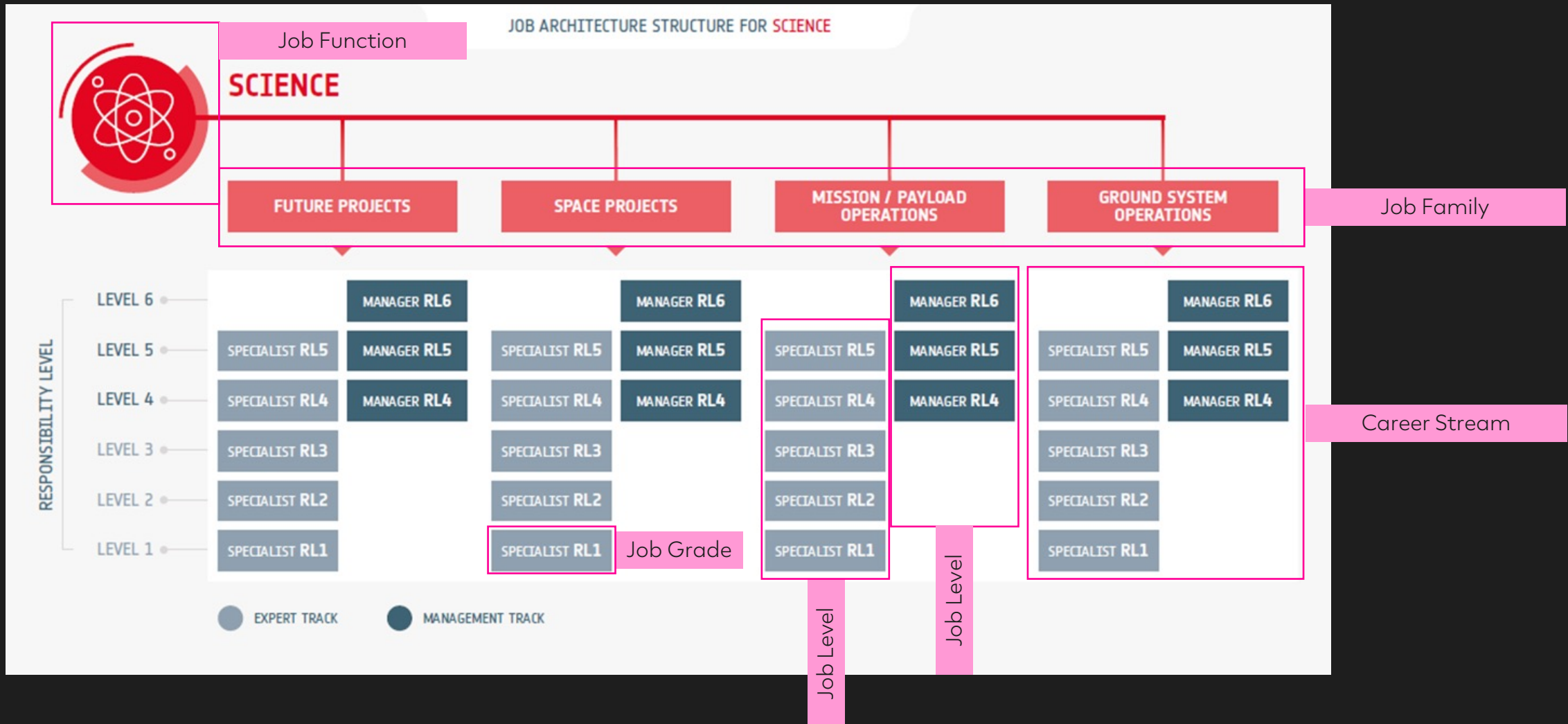
Career Streams

- With **career streams**, employees understand the unique responsibilities associated with progression.
- Career growth can also apply to those who don't want to manage others.
- Example:
 - Expert/Specialist
 - Management
 - Project



Job Architecture

Example



03

Exercise #1

Exercise #1: Clustering Job Families

Context

PayStream is a Berlin-based FinTech founded in 2016 with 800 employees, offering digital payment solutions for online retailers. Growing from 40 to 800 in six years, the job landscape evolved without planning: teams named their own roles, often just to justify salary increases — today, no one can say which roles actually do the same thing. Two forces are now demanding a clean-up: the EU Pay Transparency Directive and high turnover due to a lack of visible career paths.

Your turn!

Imagine you are the HR Strategy Team at PayStream. In front of you are **15 historically grown job titles** — unsorted. **Cluster** them into **meaningful job families** and give each **cluster a name**. Use the paper and pens provided. Each group will present their results to the plenary — appoint a spokesperson or present as a team.



20 min.



teamwork



Exercise #1: Clustering Job Families

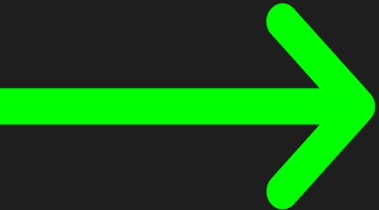
Overview of 15 Job Positions

Senior Backend Engineer	Risk Analyst	Compliance Officer
Full-Stack Developer	DevOps / SRE Engineer	Legal Counsel
Assitant to the Board	UX/UI Designer	Growth Marketing Manager
Product Manager – Payments	Machine Learning Engineer	Engineering Manager
Account Executive (B2B)	Technical Product Manager	Customer Success Manager





How did you cluster the titles,
and where did you get stuck?



Which titles were hardest to
place — and what does that tell
you?



How to create Job Families

Creating Job Families based on existing organisational functions such as HR, IT, Finance, etc.

By Function

**By
Occupation**

Creating Job Families based on certain occupations such as Engineers and Research Scientists

Creating Job Families based on business units such as call centres or production units.

**By Business
Unit**

**By Skills or
Capability**

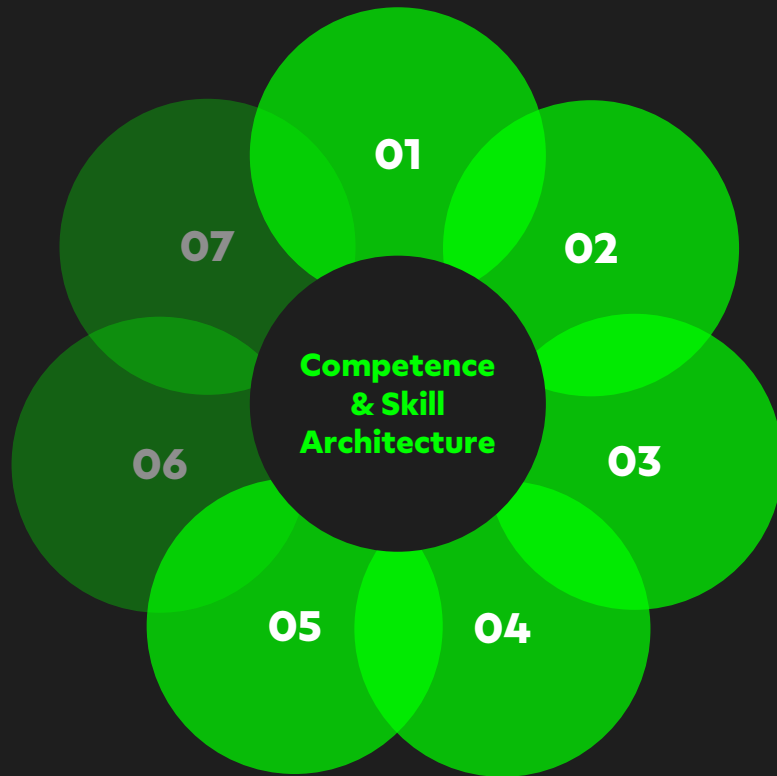
Creating Job Families based on skills or capabilities such as Project Management.

04

Module #2 - Skill Framework

Competence & Skill Architecture

How we define the basis of the model



Core competencies are key competencies that apply across the entire company and are relevant to all employees, regardless of their role, position, or location. They form the cultural and value-based framework within which behavior, decisions, and collaboration within the company should take place. They create a common basis for leadership, communication, and further development and are essential for promoting a coherent corporate culture.

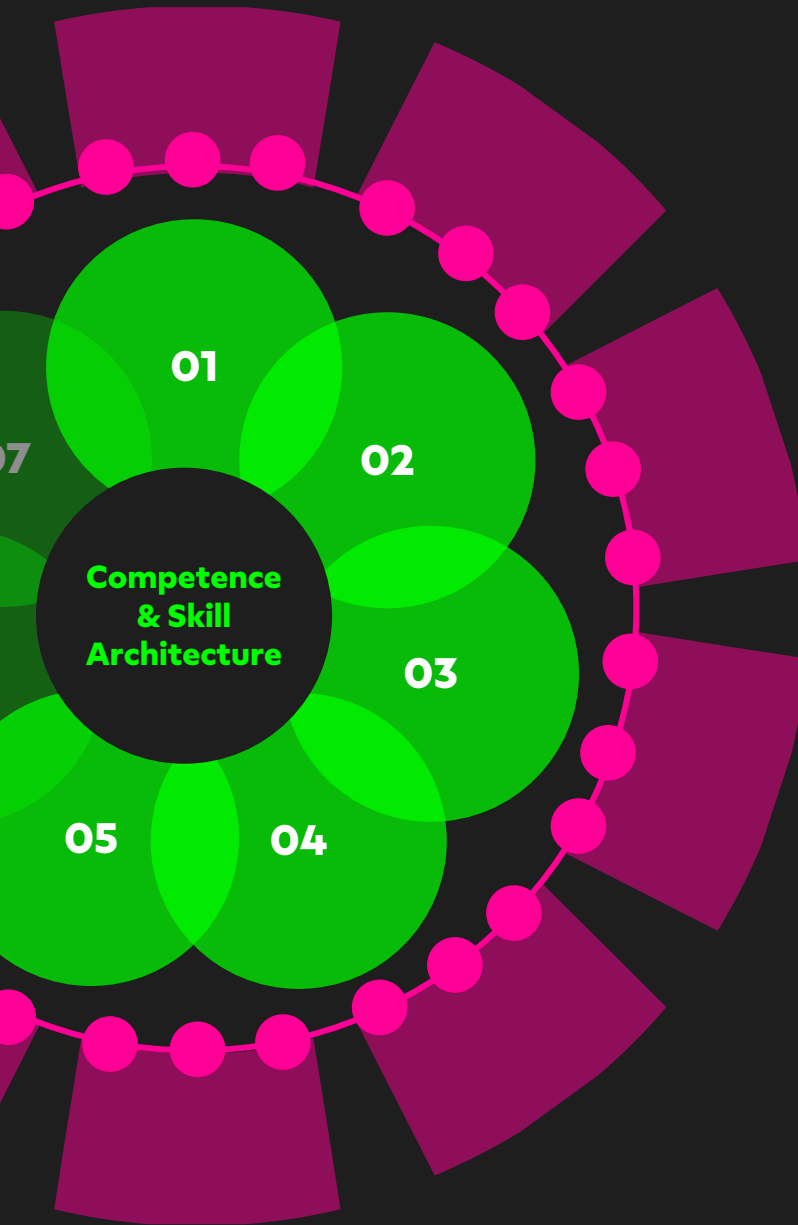


Psychological aspect: 7 ± 2

- On average, human short-term memory can actively process 5 to 9 items at a time.
- Therefore, core competencies should be limited to 5–7 key competencies – otherwise, orientation is lost.

Competence & Skill Architecture

How we define the middle level of the model



Functional competencies and job family competencies form the middle level in a competency architecture—they specify what employees need to be particularly good at, depending on their function or role family, beyond the general core competencies.

Functional competencies refer to competencies that are necessary for a specific function or field, e.g., finance, HR, IT, or sales.

Job family competencies, on the other hand, describe competencies that apply to a specific role family, regardless of the function in which this role is performed, e.g., project management, people leadership, or business development.

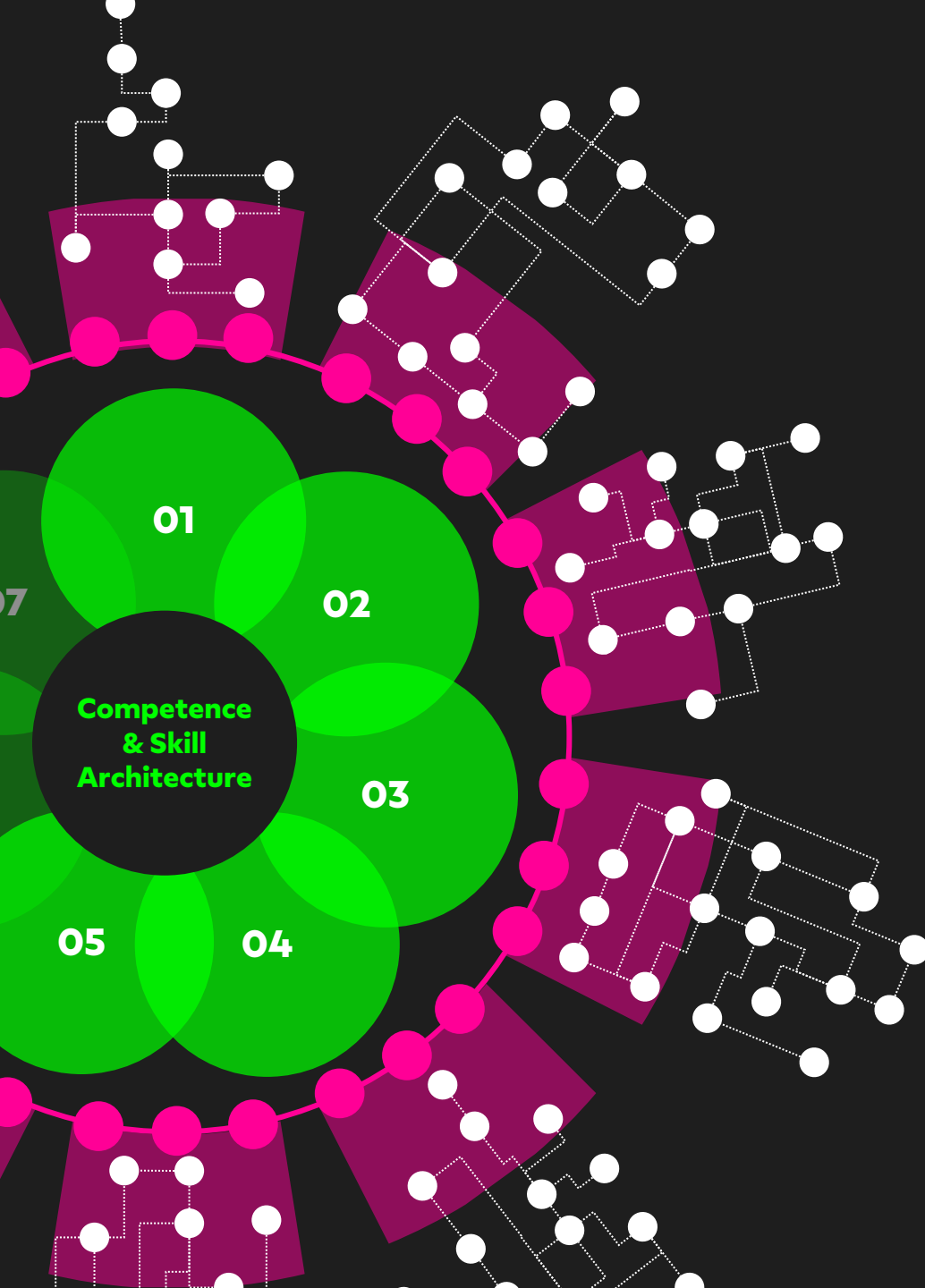


Suggestion

- Prioritization of functional competencies as a structuring layer
- Maximum of 3-4 additional competencies

Competence & Skill Architecture

How we define the outermost layer of the model



The outermost level of the competency architecture consists of **role- or position-specific competencies and skills**.

These describe in concrete terms the abilities, knowledge, and behaviors required for a specific role within the company. Unlike core or functional competencies, which are broader in scope, these go into greater depth and take into account the individual requirements of specific jobs. Each role has its own competency profile—not only in terms of the type of competencies required, but also in terms of their degree of development.

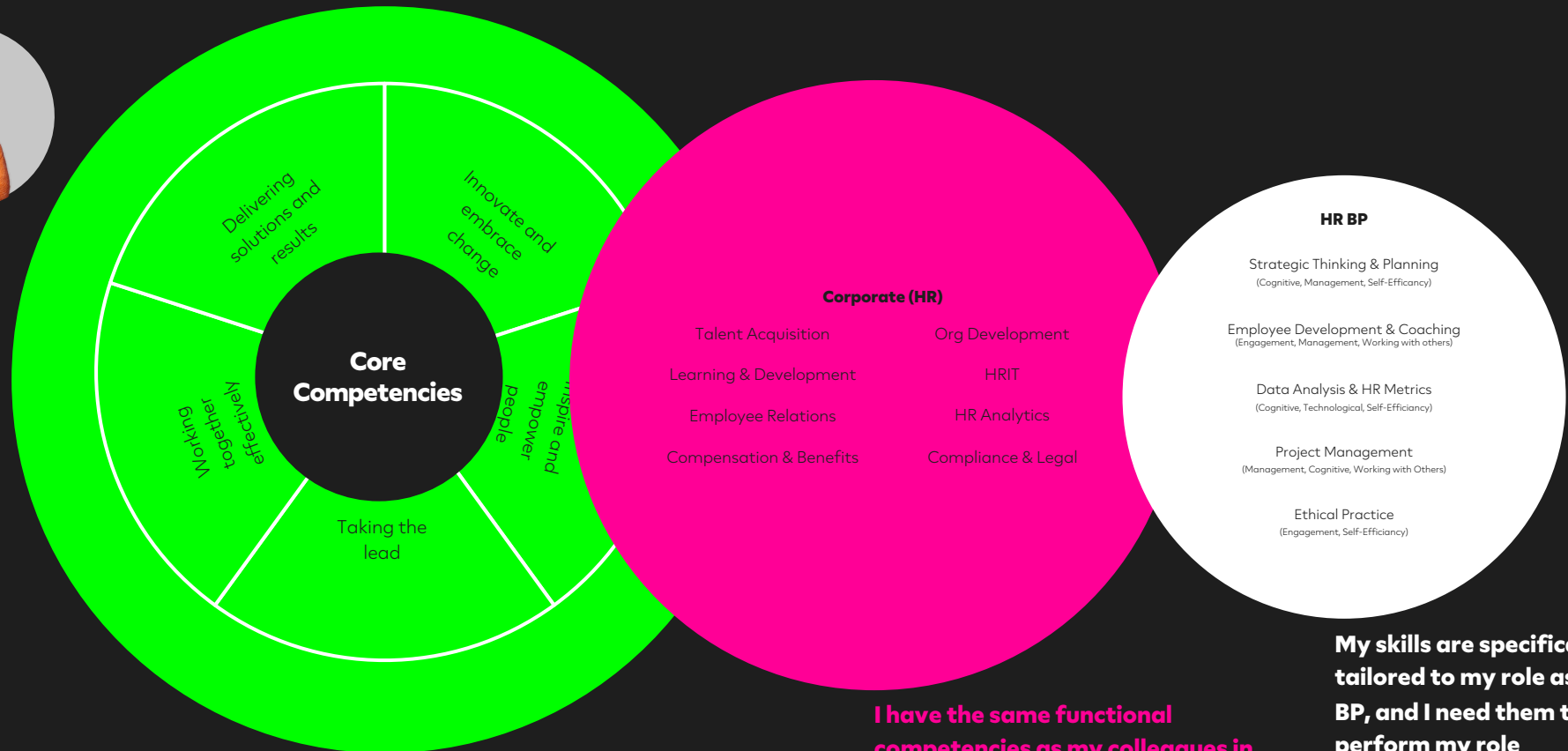
Skill categorization



- Cognitive Skills
- Physical Abilities
- Engagement Skills
- Self-Efficiency Skills
- Management Skills
- Working with Others
- Technological Skills

Competence & Skill Architecture

How the different levels form a holistic picture



Our core competencies should be embodied by all employees and require me to consider how I can implement them in my specific role.

I have the same functional competencies as my colleagues in my department. The level of maturity depends on our stage within the HR career path.

My skills are specifically tailored to my role as HR BP, and I need them to perform my role successfully and develop into future roles.

”

**Skills themselves are the
currency of the future.**

Alex Kaplan

Global Leader Blockchain & AI for Industry
Credentials @ IBM

”

Companies that focus on skills as the currency and shift from only using signals like where someone went to their previous company will create a more dynamic and equitable labor market.

Ryan Roslansky
CEO LinkedIn

Competence & Skill Architecture

Distinction between skills and competencies



Skills: refer to practical knowledge that a person has acquired through training, experience or education. These skills are usually specific and can be applied in different areas.

Communication skills

(The ability to communicate clearly and effectively, whether verbally or in writing)

Technical skills

(The knowledge and skill in using tech. tools or software, such as programming, data analysis or graphic design)

Problem solving

(The ability to identify challenges, develop alternative solutions and select the best option)



Competencies: are broader and relate to a person's ability to perform certain tasks or roles successfully. They often integrate a combination of skills, behaviors and knowledge and include the ability to use them.

Leadership

(The ability to motivate, inspire and lead others to achieve common goals)

Intercultural competence

(The ability to interact and communicate effectively with people from different cultural backgrounds)

Customer orientation

(The ability to understand the needs and expectations of customers and act accordingly to ensure their satisfaction)

What is the **value** of
competencies?



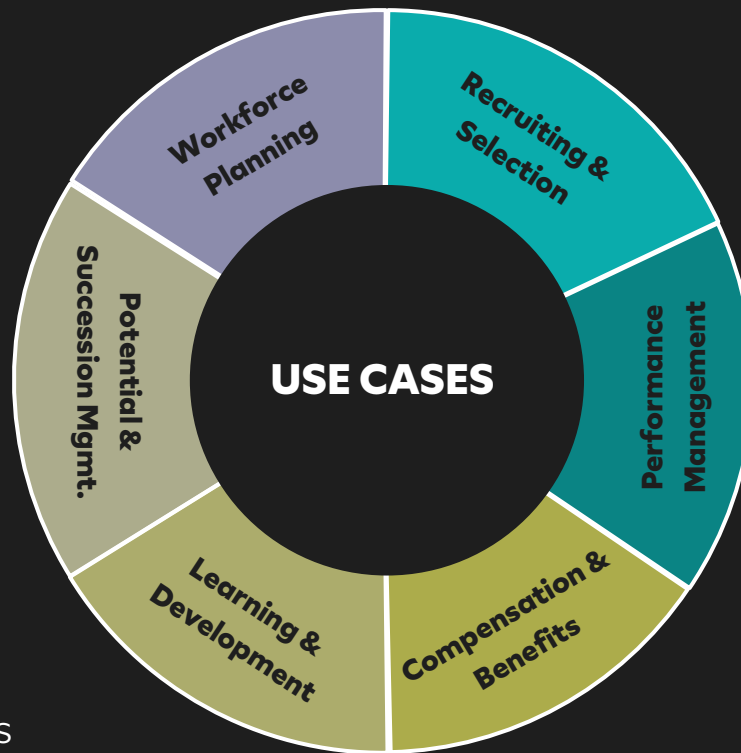
Competence & Skill Architecture

What are the resulting use cases

Strategic demand planning for transparent personnel requirements across organizational areas

Talent assessment and succession planning based on clearly defined criteria

Definition of clear development paths and derivation of target group-specific learning opportunities



Strategic talent acquisition by deriving future requirements and communicating them in job profiles

Feedback and performance evaluation based on uniform and binding criteria

Linking "payment for performance" to competencies/skills

Organizational performance

Org / work design:

Restructure roles around required skills.

Strategic workforce planning:

Forecast both headcount and future skill gaps.

Talent deployment:

Flexibly match people to projects and gigs.

Performance management:

Align business goals with skill capabilities.

Job-Architecture

Framework for organizing, evaluating and designing jobs
Job-Functions | Job Families | Job Sub-Families
Career Levels, Grades, Streams, Roles ...

Talent performance

Talent acquisition:

Hire for proven skills and experience.

Learning and development:

Connect training to business needs and career paths.

Talent management:

Promote and develop critical skill sets.

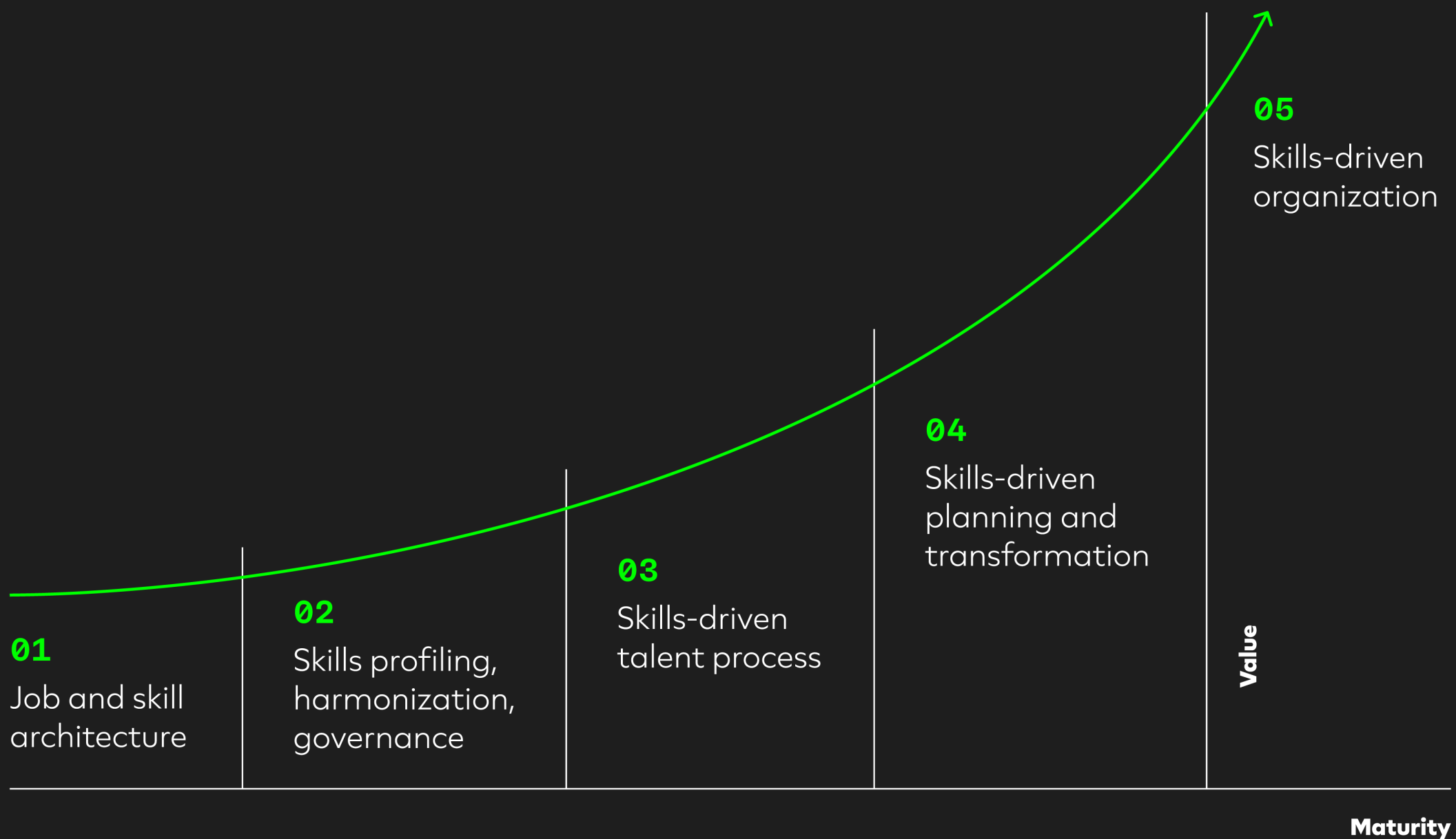
Rewards

Tie transparent pay and equity to skill value.

Skills-powered Job-Architektur

Skill-Architecture

Organizes the skills required to perform work across the organization
Skill-Types, Proficiencies, Taxonomy | Ontology, ...



05

Exercise #2

Exercise #2: Building a Skill Profile

Context

The job families are in place — but defining a family does not yet tell us what people within it actually need to know and do. That is precisely what the EU Pay Transparency Directive requires: a shift away from job titles towards criteria that are objective and comparable across the organisation.

Your turn!

Select **one job family from Exercise #1** and **one specific role** within it. Develop a **skill profile** for that role across **three layers**:

(1) Core Competencies: 3 competencies that apply to all employees at PayStream

(2) Job Family Skills: 3 functional skills relevant across the entire job family

(3) Role specific Skills: 3 skills that distinguish this particular role

e.g., Backend Engineer – Learning agility (1), systems thinking (2), API-Design (3)



20 min.



teamwork



Exercise #2: Building a Skill Profile

Job Family: _____ Role: _____

(1) Core Competencies

(2) Job Family Skills

(3) Role specific Skills

_____	_____	_____
_____	_____	_____
_____	_____	_____



Competence & Skill Architecture

Proficiency Levels — How to measure skill depth

Theoretical Foundation: Dreyfus Model of Skill Acquisition (Dreyfus & Dreyfus, 1980) — originally developed for chess players and pilots, now foundational in HR

LEVEL 1

Novice

Follows rules rigidly. No context judgment. Needs supervision for all tasks.

Example: First week on the job.

LEVEL 2

Advanced Beginner

Recognizes patterns from experience. Still relies on guidelines but adapts slightly.

Example: Junior after 6 months. Handles standard cases.

LEVEL 3

Competent

Plans ahead. Chooses deliberately from options. Works independently on most tasks.

Example: Mid-level professional, 2–4 years exp.

LEVEL 4

Proficient

Sees situations holistically. Adapts fluidly. Mentors others and challenges existing approaches.

Example: Senior with domain ownership, leads peers.

LEVEL 5

Expert

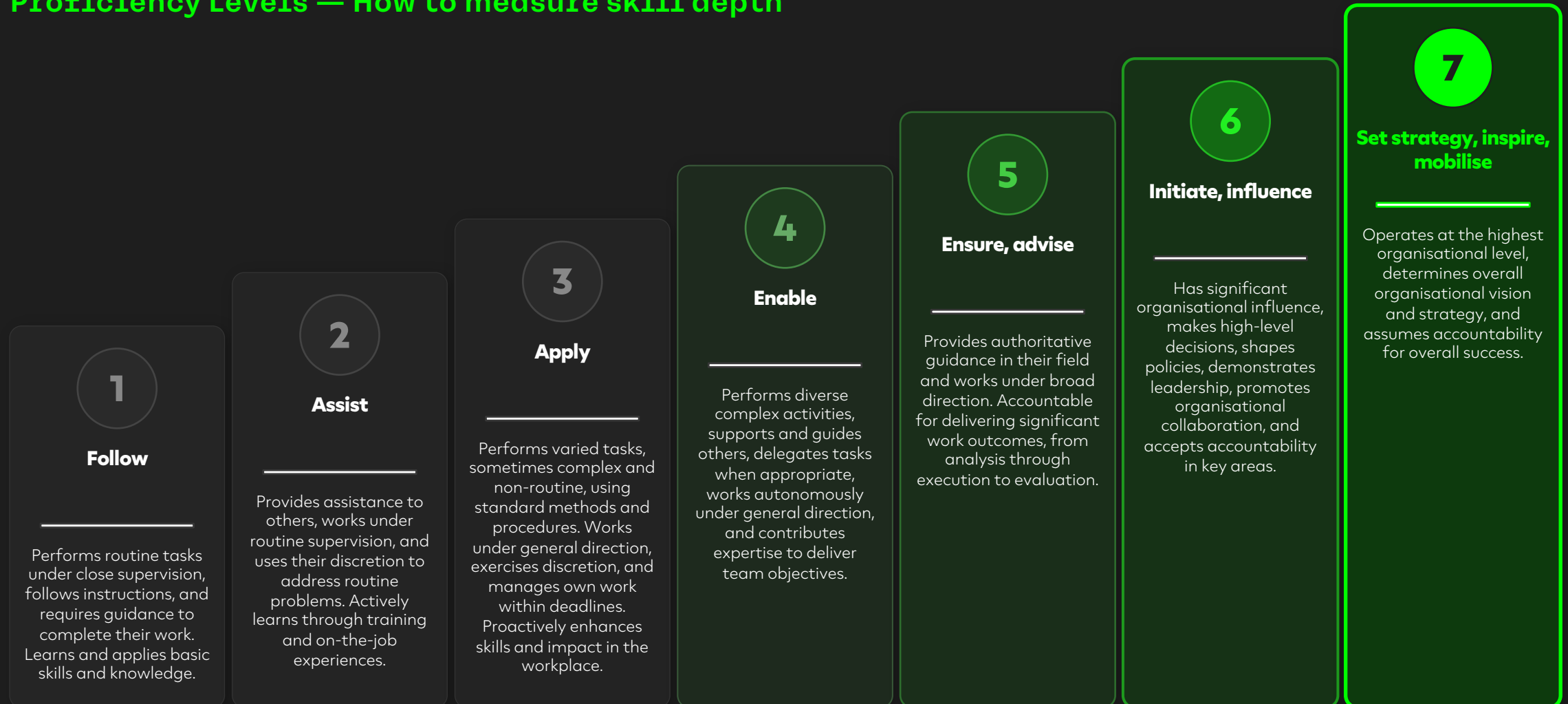
Acts intuitively from deep pattern recognition. Redefines the field. No longer follows rules — creates them.

Example: Principal engineer, thought leader, recognized externally.

In practice: Most organisations use 3–5 levels in skill frameworks. The key is consistent, behavioural descriptions — not just labels. Each level must answer: “What does this look like in action?”

Competence & Skill Architecture

Proficiency Levels — How to measure skill depth



05

Exercise #3

Exercise #3: Proficiency in Action

Context

PayStream has defined its skill framework. Now the HR team must decide: for each role, what does “good” actually look like?

Without proficiency levels, a skill profile is just a list. Levels turn it into a development tool — and a fair basis for pay and promotion decisions.

Your turn!

Take the skill profile you built in Exercise #2. Select **one skill** from each layer and define what it looks like at **3 proficiency levels**:

Basic — what can a junior do with this skill?

Proficient — what does a senior do independently?

Expert — what does a thought leader do that nobody else can?

Use the worksheet on the next slide. Write in observable, behavioural terms — not “understands X” but “independently does X in context Y.”



15 min.



teamwork



Exercise #3: Proficiency in Action

Job Family: _____ Role: _____ Skill chosen: _____

Skill Layer	Basic (Novice)	Proficient	Expert
(1) Core Competency Skill: _____			
(2) Job Family Skill Skill: _____			
(3) Role-specific Skill Skill: _____			

You just built a skill profile
for someone else — **now**
let's look at the human side

06

Impact on People



How would you feel if your employer created a **skill profile** for you — and used it to make **decisions about your salary?**



Impact on People

01 | Identity & Role

THE CHALLENGE

"I am a Software Engineer"

vs.

"I can Java, system design & UX."

Role identity is deeply anchored in how people describe themselves. When organisations shift to skill-based language, employees can experience a loss of professional identity — even when the change is meant positively.

THEORY | ROLE IDENTITY (STRYKER)

Identity Theory (Stryker, 1980) suggests professional roles form a core part of self-concept. The more central a role is to someone's identity, the more threatening it is to have that role questioned or replaced.

Implication: Skills transitions require active change management — not just a new taxonomy.

SO WHAT? FOR ORGANIZATIONS

- Communicate the "why" behind skill frameworks early and transparently.
- Involve employees in skill definition — co-creation reduces resistance.
- Reframe: skills don't replace your role — they make it visible.

Impact on People

02 | Motivation

Self-Determination Theory (Deci & Ryan, 1985) — Three needs that drive intrinsic motivation

Autonomy

Skill transparency can strengthen autonomy — when employees understand what they need to grow.

Risk: If skills are defined top-down without dialogue, it creates control — not autonomy.

Competence

Clear skill expectations give employees a concrete sense of growth and mastery.

Risk: Skill gaps made visible without support can trigger fear and disengagement.

Relatedness

Shared skill language across teams can strengthen collaboration and belonging.

Risk: Ranking employees by skills can create internal competition and erode trust.

Key question for organisations: Do skill frameworks empower or surveil? The answer depends entirely on implementation.

Impact on People

03 | Fairness & Bias

THE FAIRNESS PROBLEM

Skills sound objective. But who decides which skills matter?

- Historically undervalued skills (care work, communication, coordination) are often underrepresented in skill taxonomies — reflecting existing power structures, not objective value.
- Algorithmic skill matching can amplify existing biases at scale — if trained on historical data that reflects past inequity.
- EU Pay Transparency Directive (2026) demands objective criteria — but “objective” still requires a human definition of value.

THE OPPORTUNITY

Well-designed skill frameworks can reduce bias by shifting decisions from gut-feel to evidence: hiring, promotions, and pay become more defensible.

Data-based talent decisions are 107% better at placing people in the right roles — when built with fairness in mind.

DESIGN PRINCIPLES FOR FAIRNESS

- Involve diverse groups in defining which skills matter
- Audit AI-based skill tools for bias regularly
- Make skill criteria transparent and appealable

Impact on People

04 | Employability

73%

of employees say stronger development opportunities would make them stay longer.

Source: LinkedIn Workforce Learning Report

THE SHIFT IN RESPONSIBILITY

Skills as personal capital) frames employability as an individual asset — not just an organizational need.

When skill visibility increases, employees can better navigate careers — but the burden of development increasingly shifts to the individual.

FOR EMPLOYEES

- Skills make your value visible beyond your current role
- Enable lateral career moves — not just vertical promotions

Watch out: Without employer support, skill responsibility becomes burden

FOR ORGANISATIONS

- Invest in L&D to match the skill transparency you create
- Connect skill profiles to real career paths — not just job descriptions
- 39% of core skills will change by 2030 — upskilling is not optional

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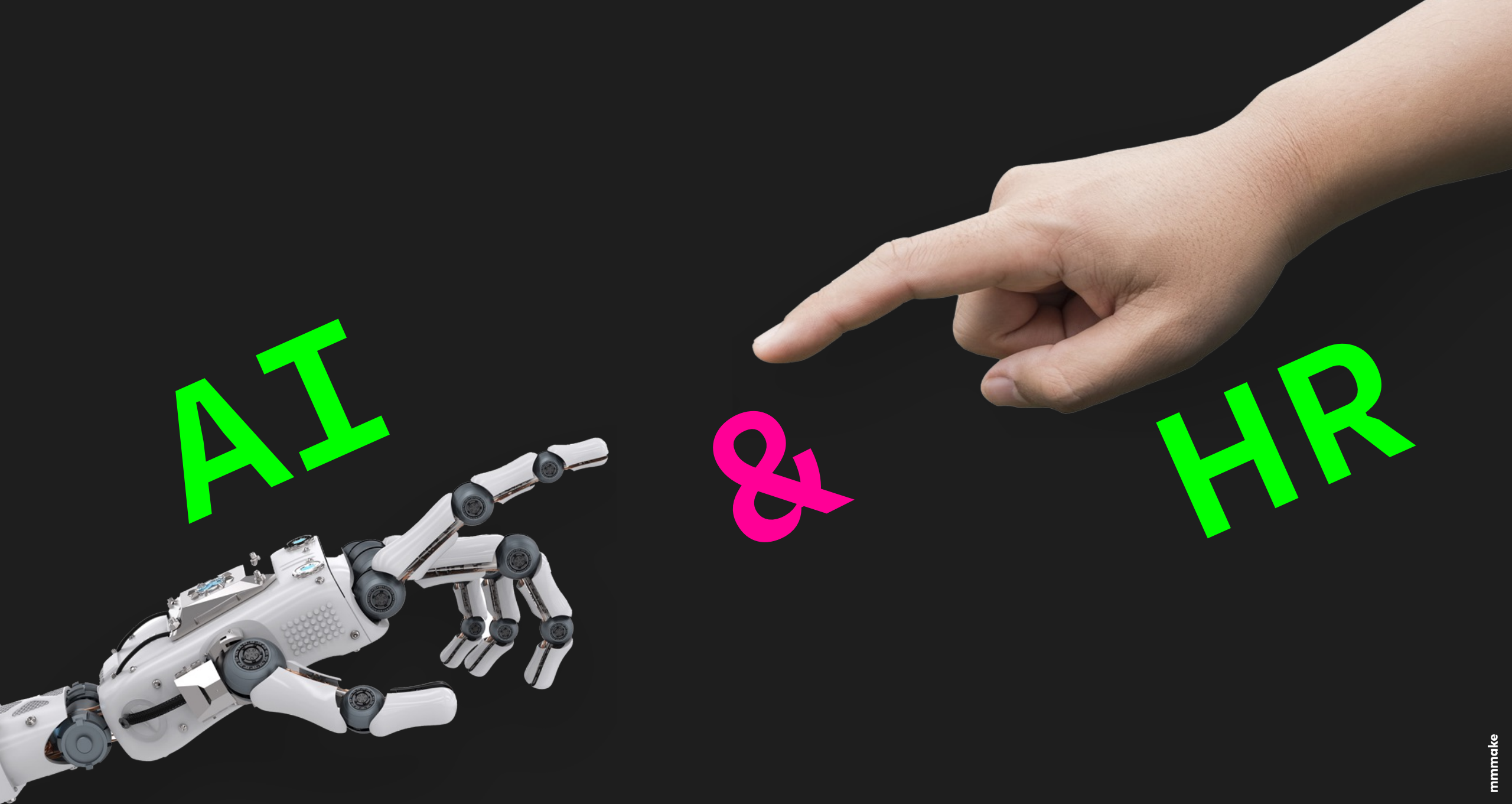
**Nothing we do is more
important than hiring and
developing people.
At the end of the day,
you bet on people,
not on strategies.**

Lawrence Bossidy
ehem. CEO Honeywell



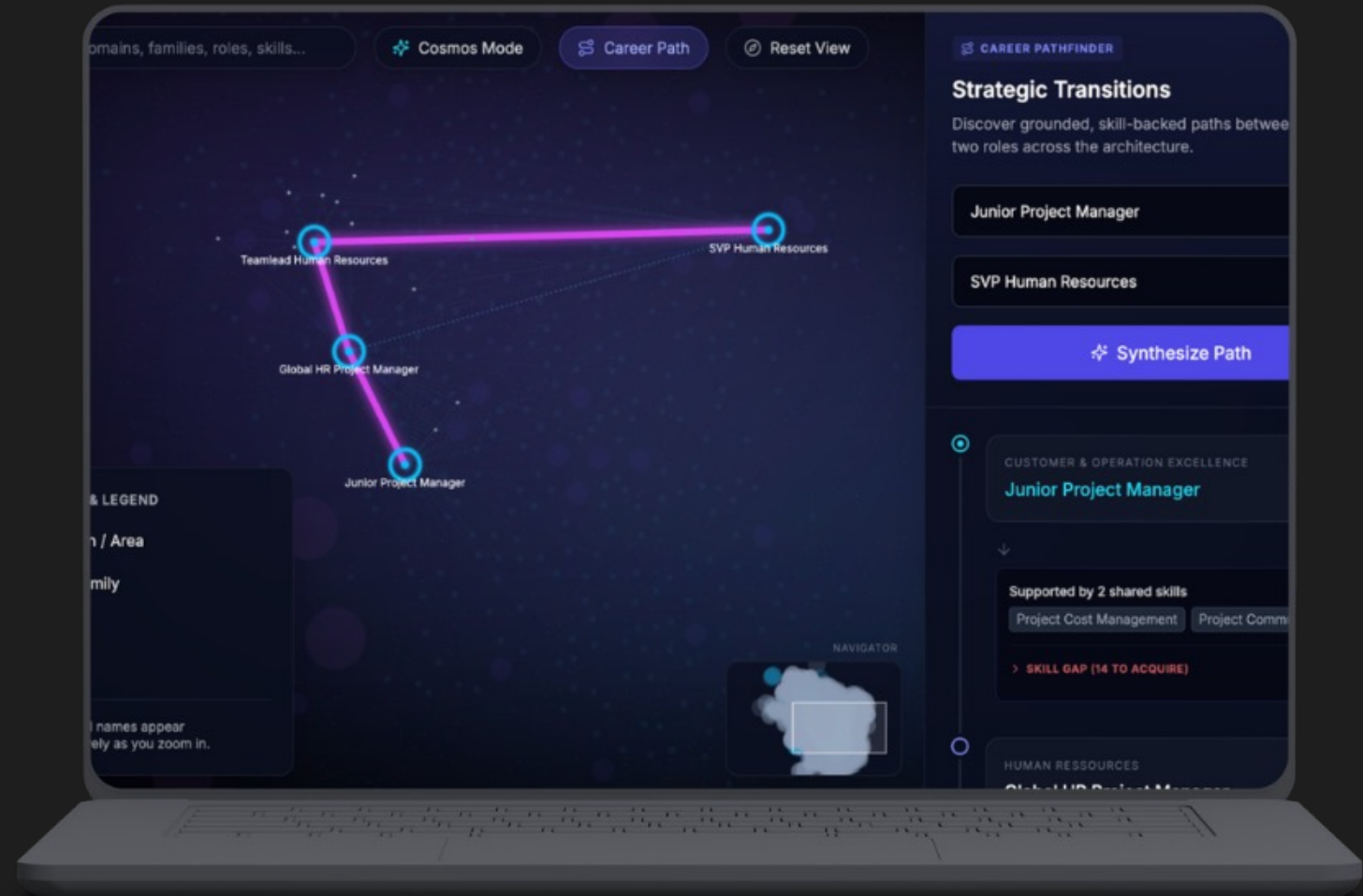
07

AI as an Enabler



Live Demo

Skill Extractor



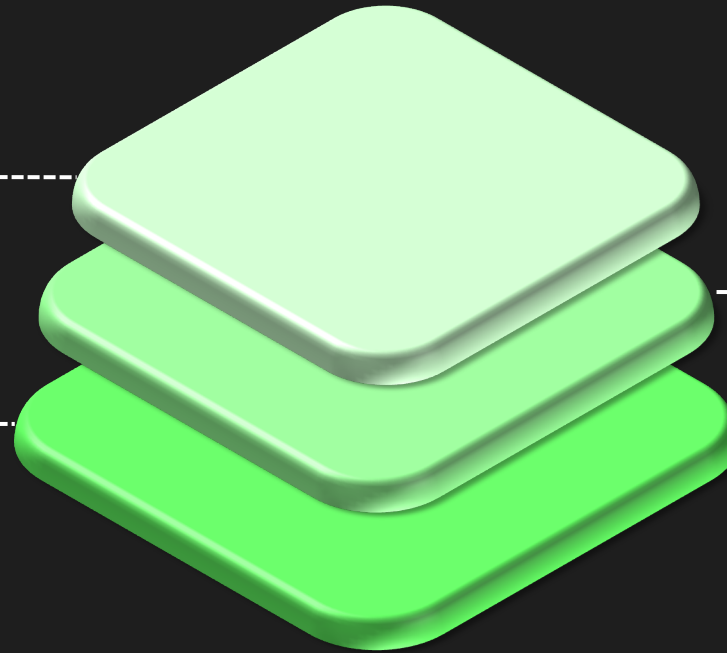
What you have just seen:

Talent Universe
incl. career paths, connections
between roles based on skills

3

Comprehensive skill profile
incl. expected proficiency level
and skill category

1



2

Detailed role profile
with job purpose,
responsibilities, tasks, etc.

Technology

Purpose

TRANSFORMATION

People



08

Wrap-Up & Discussion

Please complete the following sentence

„The key requirement for
Skill-based Organizations
to succeed is...”

Thank you
for your
time and
interest!



**And now?
Time for
questions!**

